

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 21-05

MCS INDUSTRIES, INC. v. COSCO SHIPPING LINES CO., LTD. AND
MSC MEDITERRANEAN SHIPPING COMPANY SA

RESPONDENT'S NOTICE AND UPDATE ON JOINT STATUS REPORT

As advised in the joint status reports filed on December 20, 2021 and January 10, 2022, Respondent MSC Mediterranean Shipping Company S.A., has sought advice from Swiss counsel as to the extent to which production of documents and information pursuant to the December 8, 2021 Order would implicate Article 271 of the Swiss Criminal Code. MSC is committed to resolving this case as promptly and efficiently as possible. Given the initial advice that it would be subject to criminal exposure under Swiss law if it proceeded without authorization from the relevant Swiss authorities, which must be obtained by initiating the mutual legal assistance process with Switzerland, and the complexities of the issue given that MSC operates worldwide but is directed from Switzerland, MSC has sought more detailed legal advice as how it may properly proceed.

The attached legal opinion from Swiss counsel confirms that compliance with the Order will require a request from the Commission to the relevant Swiss authority to comply with Article 271. In an effort to avoid these procedures, MSC has provided a significant production voluntarily, including documentation that it believes to be complete relevant to its handling of MSC's requests for handling of its cargo during the time period of the Complaint. Complainant moved forward to

compel substantial additional information although having been advised and apparently being aware from its own experience that this could lead to additional procedures under Swiss law.

MSC recognizes that there are competing sovereignty interests at issue, but even under a more limited case-by-case view of international comity recognized under U.S. law, the use of the Hague Evidence Convention procedures are appropriate in this case because MSC would otherwise be placed in an impossible position where production could subject it to criminal exposure under Swiss law.

Swiss counsel advises in the attached opinion that the procedures for the requests required under Swiss law are well established and effective. The procedure is regularly invoked, including in very high profile and significant matters. As the parties advised in the December 20, 2021 status report, time should be built into the case schedule to accommodate these procedures, but Swiss counsel believes it can be undertaken efficiently and effectively, particularly if the Commission's legal assistance request is focused.

MSC accordingly requests that the Commission initiate the necessary inter-governmental processes necessary to proceed under existing mutual legal assistance processes between the United States and Switzerland, and stands ready to assist in that process as needed.

Respectfully submitted,

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Counsel for Respondent
MSC Mediterranean Shipping Company S.A.

Dated: February 25, 2022

CERTIFICATE OF SERVICE

I certify that on the 25th day of February 2022, a true and correct copy of the foregoing Notice and attached legal opinion was filed via electronic mail with the Secretary of the Federal Maritime Commission, and a copy was served via electronic mail on the following:

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Memorandum on Swiss Law

Addressed to: K&L Gates LLP 1601 K St. NW Washington, D.C. 20006
Proceedings: Docket No. 21-05
MCS Industries, Inc. v. MSC Mediterranean Shipping Company SA
Authors: Louis Burrus and Giulia Marchettini, Geneva
Dated: 25 February 2022

1. Instructions

1. This memorandum on Swiss law is produced on the instruction of K&L Gates LLP, counsel acting for MSC Mediterranean Shipping Company S.A. ("MSC"), one of the Defendants in the Federal Maritime Commission proceedings (Docket No. 21-05) brought by MCS Industries, Inc, in support of the Notice Status Report dated 24 February 2022.

2. Documents received

2. The opinion expressed here is based on the factual elements contained mainly in the following material that was provided to us:
 - MCS Industries, Inc.'s Motion to Compel Discovery from MSC, dated 21 November 2021;
 - the Order Granting Motion to Compel rendered by Erin M. Wirth, Chief Administrative Law Judge of the Federal Maritime Commission in the matter MCS Industries, Inc. v. Cosco Shipping Lines Co. Ltd and MSC and served on 8 December 2021 ("the Order"); and
 - MSC's Notice and Update on Joint Status Report dated 24 February 2022.

3. Taking of Evidence in Switzerland

3. In Switzerland, the "taking of evidence" for purposes of court proceedings is a judicial function carried out by the court. It is not conducted by parties. Collection and production of documents to an opposing party in civil litigation is considered to be "taking of evidence" and thus is a judicial function in Switzerland.
4. To compel an opposing party or third party to produce evidence in Swiss civil litigation, the parties must file a motion requesting the court to collect evidence. The requesting party may submit a brief to justify its evidentiary requests in an effort to illustrate why the evidence is relevant. If the court determines that the proposed evidence relates to an issue of fact that is relevant to resolution of the litigation, the court will take the requested evidence and order the relevant party or third party to file such evidence.
5. The Swiss law requirement that taking of evidence for civil litigation in Switzerland must be conducted by the appropriate Swiss judicial authority derives from the protection of Switzerland's sovereign interests. Switzerland preserves such interests by enforcing Article 271 of the Swiss Criminal Code ("SCC").
6. Article 271 SCC codifies the principle of international law according to which the sovereignty of a state extends only to its borders. In other words, a state cannot exercise its public powers outside of its national borders. Under Article 271 SCC, "it is an offence for anyone to carry out activities on behalf of a foreign state on Swiss territory without lawful authority, where such activities are the responsibility of a public authority or public official as well as for anyone to carry out such activities for a foreign party or organization."¹

¹ French wording of Article 271 (1) SCC: "Celui qui, sans y être autorisé, aura procédé sur le territoire suisse pour un État étranger à des actes qui relèvent des pouvoirs publics, celui qui aura procédé à de tels actes pour un parti

7. Article 271 SCC strikes against acts that violate Swiss territorial sovereignty and which as a consequence cannot be carried out without the permission of the Swiss authorities.
8. For an act to be illegal under Article 271, it must:
 - Fall within the competence of a public authority from a Swiss legal perspective, or, in other words, be an act the performance of which is reserved to Swiss authorities pursuant to Swiss law;
 - Be made in favor of a foreign State, i. e., in the interest of a non-Swiss public authority, or in connection with proceedings conducted by or on behalf of such non-Swiss authority (e.g., a foreign court, government body, or public official);
 - Occur on Swiss territory; and
 - Be made without due authorization by a competent Swiss authority or without recurring to the channels of international judicial assistance.
9. "Actions" under Article 271 SCC include in particular, the gathering, compiling and establishing of means of evidence (documents, witness depositions, written witness statements), which all qualify as official acts as defined in Article 271 SCC and may only be performed by Swiss authorities. The same applies if a party seeks to produce documents in foreign proceedings that are not in its possession or under its control and must be gathered in Switzerland from a third party.
10. With regard to data stored electronically, we should clarify that the place where the data is stored is not a decisive factor from a Swiss law perspective. The decisive question is rather who has possession and/or control of the data.
11. If the non-Swiss data (i.e. data stored outside of Switzerland) is solely under the control of a Swiss entity (in this case MSC), then there is in our view a risk of exposure under Article 271 SCC, even if the data is transmitted by a person abroad. In fact, such transmission would have to take place upon instruction and/or delegation of MSC.
12. By contrast, if a person domiciled abroad has independent and autonomous access to MSC's data stored outside of Switzerland, we believe the data could be transferred (subject to the applicable data protection provisions) to the US authorities by this person domiciled outside Switzerland without there being a risk of falling within the scope of Article 271 SCC.

étranger ou une autre organisation de l'étranger, celui qui aura favorisé de tels actes, sera puni d'une peine privative de liberté de trois ans au plus ou d'une peine pécuniaire et, dans les cas graves, d'une peine privative de liberté d'un an au moins."

German wording of Article 271 (1) SCC: "Wer auf schweizerischem Gebiet ohne Bewilligung für einen fremden Staat Handlungen vornimmt, die einer Behörde oder einem Beamten zukommen, wer solche Handlungen für eine ausländische Partei oder eine andere Organisation des Auslandes vornimmt, wer solchen Handlungen Vorschub leistet, wird mit Freiheitsstrafe bis zu drei Jahren oder Geldstrafe, in schweren Fällen mit Freiheitsstrafe nicht unter einem Jahr bestraft."

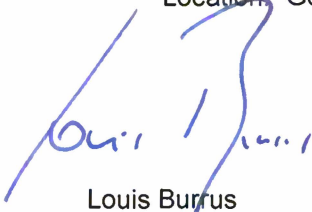
13. Ultimately, we believe that the answer to the question depends essentially on whether or not the data is under the exclusive control of MSC and, based on our understanding of MSC's structure this is the case, given that all servers and information are ultimately controlled by MSC from Geneva.
14. The possible sanction for performing an act which is precluded by Article 271 SCC is imprisonment for up to three years or a fine.
15. As detailed above, the collection of evidence for purposes of judicial proceedings may be characterized, from a Swiss legal perspective, as a "public authority act" and, as a consequence, the collection of evidence on Swiss soil for purposes of judicial proceeding pending outside of Switzerland could fall within the scope of Article 271 SCC.
16. To avoid any risk of violating Article 271 SCC, the Swiss party requested to provide evidence must use Swiss-approved procedures before producing documents located in Switzerland to a foreign authority.
17. Swiss courts use the Convention on the Taking of Evidence Abroad in Civil or Commercial Matters (Concluded March 18, 1970) ("Hague Convention") to produce documents located in Switzerland for foreign litigation in a country, such as the United States, that also is a party to the Hague Convention. Under the Hague Convention procedures, the U.S. court would request the appropriate Swiss authorities, through the competent Central Authority, to order and supervise the taking of evidence.
18. Article 271 SCC was enacted in 1935, decades before Switzerland adopted the Hague Convention. It was intended to preserve Switzerland's sovereign interest in performing acts of public authority in Switzerland through official Swiss authorities. Article 271 SCC, therefore, was not enacted for the purpose of preventing discovery of Swiss documents for use in litigation pending in the United States.
19. As emphasized above, the usual way to avoid a risk under Article 271 SCC would be to use the channels of international judicial assistance.
20. Swiss judicial sovereignty does indeed permit a litigant in foreign court proceedings to produce evidence located in Switzerland so long as the litigant proceeds through the channels of international judicial assistance. Acts performed in this context are deemed authorized from the perspective of Article 271 SCC and thus avoid the risk of violating this provision.
21. From a Swiss legal perspective, the Hague Convention is exclusively applicable among Contracting States as regards the taking of evidence. Furthermore, as the Swiss Federal Tribunal has ruled in several cases, whatever the position of a Contracting State may be concerning the exclusive application of the Hague Convention, priority shall in any event be given to the procedures provided in the Hague Convention for taking of evidence in Switzerland.
22. The Message of the Federal Council recognized that Switzerland disagrees with the U.S. Supreme Court's interpretation of the Hague Convention as an "option" in *Société*

Nationale Industrielle Aérospatiale y. US. Dist. Ct. for the S. Dist. Of Iowa, 482 U.S. 522, 546 (1987), because it deprives Switzerland of the exclusive use of the Hague Convention for document requests from the United States.

23. Under Swiss law, and pursuant to the Hague Convention, a judicial authority in a Contracting State must submit a Letter of Request to the appropriate Swiss authority requesting the taking of evidence located in Switzerland. The Letter of Request must specify, inter alia, the parties, the nature of the proceedings and details concerning the evidence to be obtained.
24. Generally, the judicial authority submits the Letter of Request to the Swiss Federal Department of Justice and Police in Bern, which will forward it to the Central Authority of the Canton where the requested evidence is located, but it also may submit the request for the taking of evidence directly to the appropriate local Central Authority. The Swiss court in that Canton then supervises the process and orders the producing party to produce the requested evidence, provided that the legal requirements are met. As the Swiss Federal Tribunal ruled in DFT 132 III 291 in the context of a pre-trial discovery request for production of documents, the Swiss authority must, inter alia, evaluate the requested evidence to verify its relevance to the dispute. Once verified, the Swiss authority will transmit the documents back to the requesting court.
25. The Hague Convention, therefore, offers a discovery mechanism consistent with Swiss sovereignty that U.S. courts and litigants can, and often do, use to seek documents located in Switzerland without risking violating Swiss law.
26. Switzerland is well equipped to process requests to take evidence pursuant to the Hague Convention, it routinely does so in an efficient manner and the majority of the requests are processed in less than two months, especially if the Commission's legal assistance request is focused.

Date: 25 February 2022

Location: Geneva, Switzerland



Louis Burrus



Giulia Marchettini